

OCR AS and A Level Economics (H060, H460) Topic Questions

Question Paper

Main Topic

Microeconomics (Component 01)

Sub-Topic

Introduction to Microeconomics

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**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460),
for exams from 2025 onwards.**

Students and teachers of other boards may also find this useful

Name : _____

Date : _____

Time : _____

Total Marks Available : _____

Total Marks Received : _____

1

Some economists claim that the Royal Mail was more efficient when it was a monopoly.

Evaluate, using an appropriate diagram(s), whether a monopoly will be efficient.



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2 * Estonia continues to increase the role of market forces in its economy.

Evaluate whether operating a market economy is the best way to allocate resources.



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3 Which of the following is a need?

- A Clothing Holiday
- B entitlement
- C Internet
- D connection Television

Your answer

[1]

4 Extract 1 – The challenge of affordable housing

Average house price growth of nearly 10% in 2015 has contributed to an increasing crisis in the availability of affordable housing in the UK. Demand for housing has been fuelled by sustained record low interest rates, population growth resulting from immigration and changing lifestyles increasing the number of single occupier households. With rates of house building falling significantly below the rate of household formation, the shortage of properties on the market has contributed to rapidly rising prices. The increase in prices has been most rapid in London, where average prices increased by £500 a day in January 2016.

One method of measuring the affordability of housing is to study the ratio of house prices to average earnings, which by the end of 2015, had reached 5:1. This exceeded the ratio of approximately 4:1 during the housing boom of the late 1980s, evidence that the housing market is in danger of overheating.

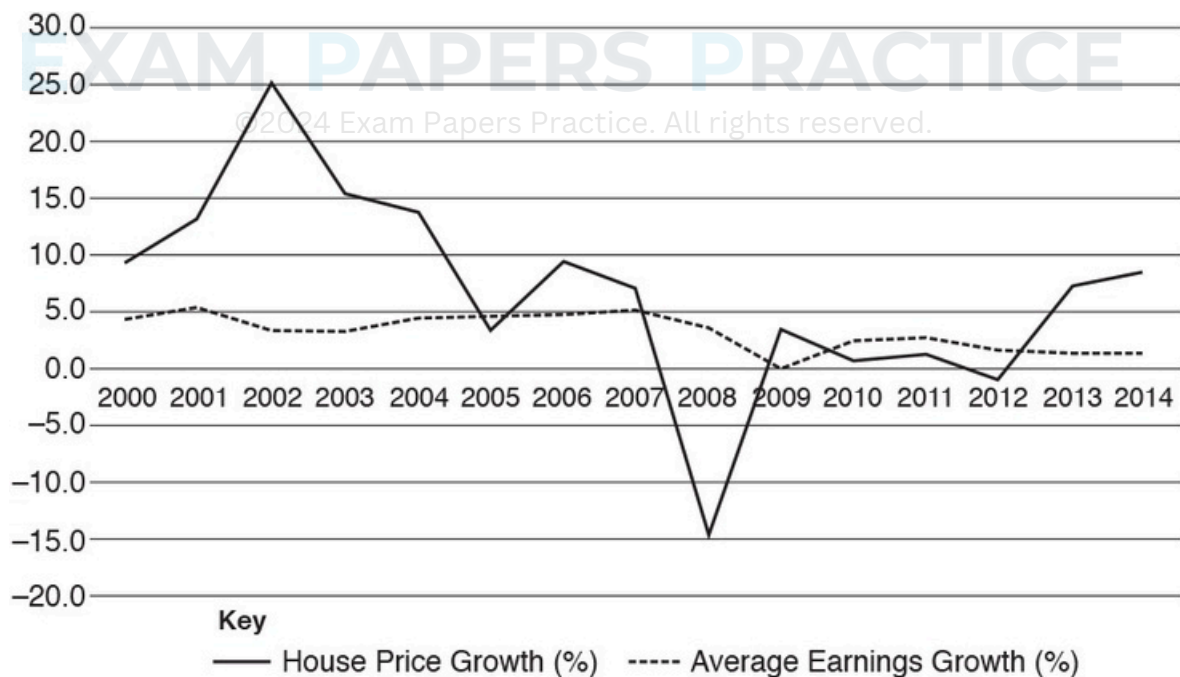


Fig. 1.1 – House Price & Earnings Growth 2000–2014

In the 2015 Autumn Statement a number of policy reforms designed to tackle the rise in house prices were

announced. One reason for the rise in house prices has been the increased number of buy to let investors, who purchase property as an investment which they then let out on the private rental market. As well as removing tax relief on mortgage interest payments, the Chancellor introduced a 3% additional stamp duty rate on any property bought as a buy to let or second home. This was in addition to the stamp duty already charged on the purchase of residential property. These reforms were designed to reduce significantly the incentives to invest in this market and prevent further upward pressure on house prices.

Further steps to make purchasing a house more affordable were taken in the March 2016 Budget; the Chancellor announced the 'Lifetime ISA'. Prospective homebuyers are incentivised to save up to £4,000 a year for a new home by the government offering a 25% bonus on all money saved. Alongside the Help to Buy Equity Loans scheme introduced in 2013, which gives individuals access to a 20% equity loan from the government, it is hoped this policy will make it significantly easier for first time buyers to secure the deposits they need to get a foot on the property ladder.

Extract 2 – Promoting the development of infrastructure

Central to the government's strategy to make housing more affordable is the need to significantly increase the rate of house building. However, despite a range of policy initiatives designed to achieve this, such as the relaxation of planning regulations, activity in the construction industry remains weak. Questions have been raised over whether developers are deliberately restricting supply of housing in order to keep prices artificially high. Even with the rising prices experienced in recent years, house building is still occurring at less than two thirds of the level witnessed in the pre-financial crisis peak, when the number of houses constructed each year regularly exceeded 200,000. This has raised a question over whether developers are deliberately restricting the supply of housing in order to keep prices artificially high.

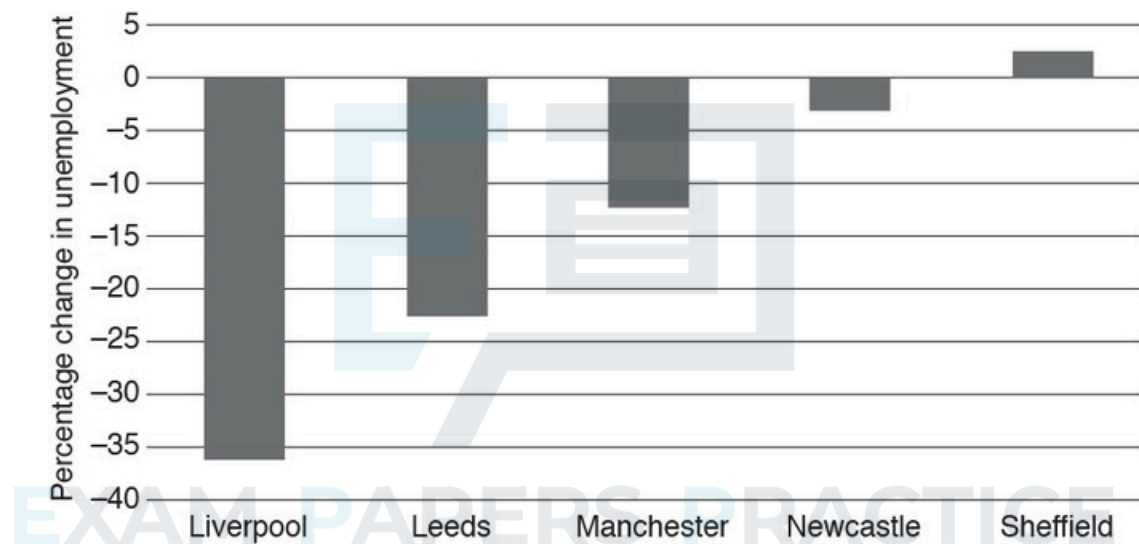
Fig. 2.1 – Average House Price & House Building 2009–14

Year	House Price	Houses Built
2009	£162,116	158,370
2010	£162,971	136,590
2011	£164,785	140,600
2012	£162,924	141,530
2013	£174,444	135,350
2014	£189,002	144,970

However, many environmentalists argue the relatively slow rate of house building is no bad thing. A particularly contentious debate exists around building on 'green belt' land, which accounts for approximately 10% of the UK's land. This has been protected from development by legislation that has been in place since 1947. It is designed to prevent urban sprawl and the loss of green space. As the need for more housing becomes more severe the Government is considering allowing some development to take place on this protected land; in late 2015 it announced 'starter' homes, to be sold at a 20% discount off the market rate, could be built on green belt land. This has led to great concern about the potential damage such building could do to areas of outstanding natural beauty and the habitat of wildlife. Such harms, however, need to be balanced against the potential benefits such

development could bring – not only in terms of lower house prices, but also long term environmental benefits that could be delivered from more people living in modern, well insulated and energy efficient accommodation.

As well as building more houses, the government is attempting to reduce the pressure on overpopulated areas in the south of England by aiming to develop a ‘Northern Powerhouse’. Cities such as Hull, Liverpool and Newcastle have all suffered from the migration of young professionals to London where more attractive employment prospects are on offer. This migration has driven up house prices in the south and harmed the economic prosperity of the north. Central to the government’s strategy to address this is the development of HS3 – a new, taxpayer-funded, high-speed railway across the Pennines connecting Liverpool, Manchester, Leeds, Hull and Newcastle. A report by the National Infrastructure Commission in March 2016 noted “A better connected north will be better for jobs, better for families and better for Britain. The work should begin as quickly as possible”.



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Fig. 2.2 – Projected impact of HS3 on regional unemployment rates

Critics argue such investment represents wasteful ‘vanity’ spending and cannot be justified at a time when there are competing pressures on public spending. They point to the inability of high speed rail to deliver the promised return on investment elsewhere in the world as proof that the scheme should not go ahead.

Extract 3 – Housing in developing and emerging countries

Half of the world’s population lives in urban areas and 80% of future population growth is expected to be in urban areas. Much of this population growth will take place in developing and emerging countries. Relatively high rates of economic growth in recent years have not been matched by growth in the supply of good quality housing. Policy failings, a lack of political will, poor access to finance and insufficient infrastructure have all contributed to the insufficient supply of affordable dwellings. This is a particular problem in many Latin American cities where it is estimated as many as 66% of the households established each year settle into informal housing such as slums.

Fig. 3.1 – Latin American growth rates & housing quality			
Country	Average GDP growth rate 2010–2014 (%)	% of total households homeless or living in poor quality houses	HDI value (2014)
Brazil	3.62	33	0.744
Chile	3.88	23	0.822
Costa Rica	3.28	18	0.763
Mexico	1.95	34	0.756
Paraguay	3.72	43	0.676
Peru	6.70	72	0.737

It is unlikely that any one policy measure alone would be sufficient to overcome this problem – nearly 10% of GDP would need to be dedicated to public housing programmes if Latin American governments were to use tax revenue to provide enough affordable houses. Therefore, alongside increased public spending there is a need to incentivise more private providers to enter the construction industry. This is however likely to require further infrastructure spending as well as the development of more formal financial systems.

Please refer to the insert H460-03 June 2017, Housing, which can be downloaded separately. Its text is included above.

Using the information in Extract 1, explain how the problem of scarcity can be applied to the housing market.

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[2]

5 What is a free good?

- A A good that is available with no opportunity cost
- B A good that is non-excludable and non-rival
- C A good that is provided by the government
- D A good that is scarce

Your answer

[1]

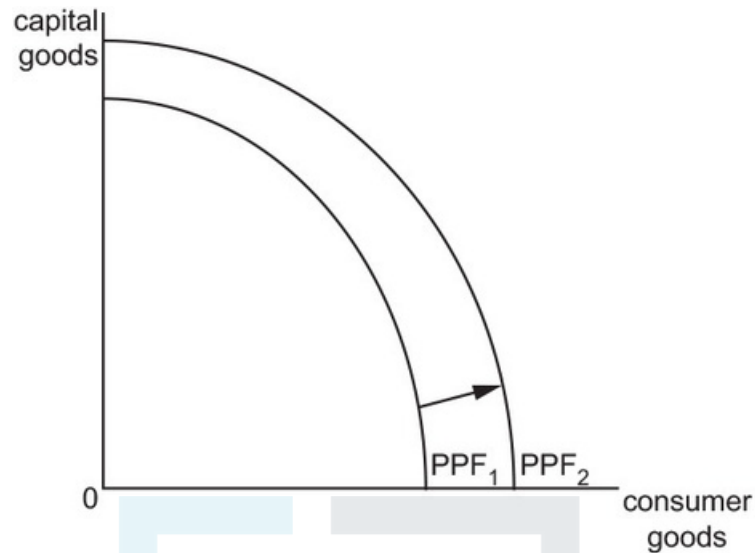
6 Danielle has just been appointed to manage a large public limited company that has a range of stakeholders, including shareholders, employees and customers. Which business objective is Danielle most likely to pursue?

- A Profit maximisation
- B Profit satisficing
- C Revenue maximisation
- D Utility maximisation

Your answer

[1]

- 7 Which of the following could have caused the shift from PPF₁ to PPF₂ illustrated in the diagram below?



- A A decrease in unemployment
- B A natural disaster
- C An increase in immigration
- D A reallocation of resources from the production of capital goods to consumer goods

Your answer

☐

[1]

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- 8 * Within any economy there is a great deal of specialisation by firms in the production of particular products, such as manufacturing of cars by BMW, Nissan and Toyota in the UK. Each manufacturer employs the division of labour. So some workers design cars, some test them, others market them and the assembly itself is divided into many different tasks.

Evaluate the extent to which specialisation and the division of labour might help in addressing the basic economic problem.



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[25]

- 9 The average age at which people are buying their first home in the UK is now 31 years old. Although survey evidence indicates individuals in their 20's would like to own a property, many choose to rent at the start of their working life in order to have enough money to spend on holidays and leisure activities. What is this an example of?
- A Allocative inefficiency
B Moral hazard
C Relative poverty
D The basic economic problem

Your answer

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[1]

10 Which of the following options correctly identifies the rewards to the factors of production?

Option	Labour	Land	Capital	Enterprise
A	Interest	Profit	Wages	Rent
B	Profit	Interest	Rent	Wages
C	Rent	Wages	Profit	Interest
D	Wages	Rent	Interest	Profit

Your answer

[1]

11 Which of the following is a feature of a planned economy?

- A Decisions are made by individuals and firms engaging in maximising behaviour
- B The government owns and allocates all resources
- C The market forces of demand and supply dictate the country's workings of the economy
- D The price mechanism plays a central role in allocating resources

Your answer

[1]

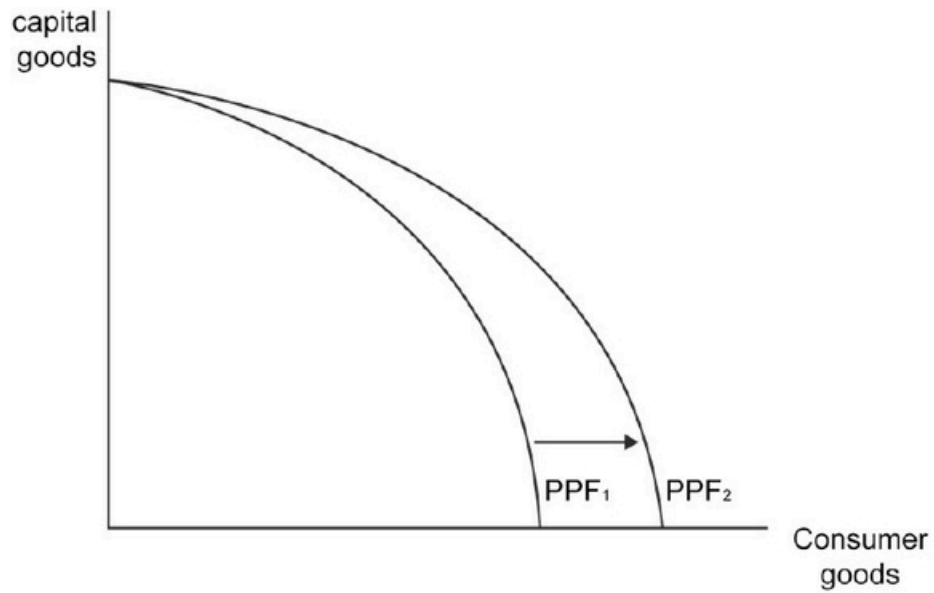
12 Which of the following is a positive statement?

- A Economic growth is a more important macroeconomic objective than redistributing income.
- B Increasing the minimum wage resulted in increased unemployment.
- C It is unfair that multinationals can conduct their operations in a way which allows them to minimise their tax bills.
- D The UK should leave the European Union.

Your answer

[1]

13



What would cause a shift in the production possibility frontier from PPF1 to PPF2?

- A An increase in the opportunity cost of producing capital goods
- B An increase in the opportunity cost of producing consumer goods
- C A rise in the production of capital goods
- D A rise in the production of consumer goods

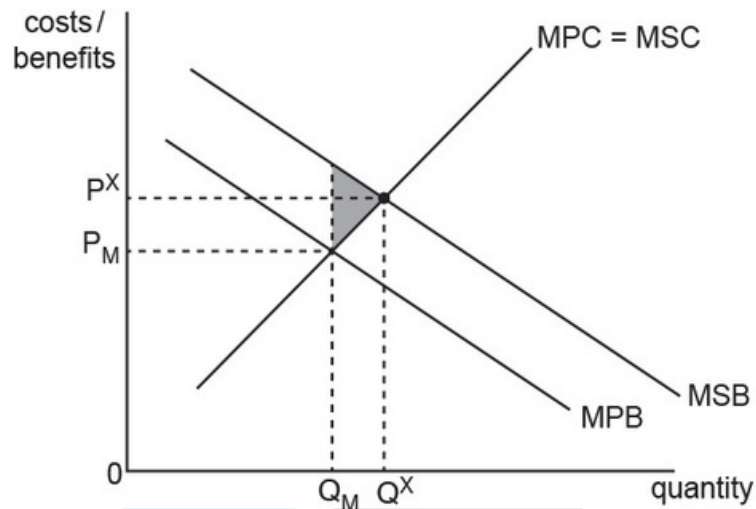
Your answer

[1]

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14 Which of the following options explains what is represented by the shaded area below?



- A Allocative inefficiency
- B Dynamic inefficiency
- C Productive inefficiency
- D X-inefficiency

Your answer

[1]

15 The average age at which people are buying their first home in the UK is now 31 years old. Although survey evidence indicates individuals in their 20's would like to own a property, many choose to rent at the start of their working life in order to have enough money to spend on holidays and leisure activities. What is this an example of?

- A Allocative inefficiency
- B Moral hazard
- C Relative poverty
- D The basic economic problem

Your answer

[1]

16 Which of the following options correctly identifies the rewards to the factors of production?

Option	Labour	Land	Capital	Enterprise
A	Interest	Profit	Wages	Rent
B	Profit	Interest	Rent	Wages
C	Rent	Wages	Profit	Interest
D	Wages	Rent	Interest	Profit

Your answer

[1]

17 Which statement explains the term 'productive efficiency'?

- A The level of output at which average cost is at its lowest
- B The level of output at which marginal cost is at its lowest
- C The level of output at which marginal cost is equal to average revenue
- D The level of output at which marginal cost is equal to marginal revenue

Your answer

[1]

18 Which of the following is the fundamental problem facing all economies?

- A The danger of deflation
- B Frictional unemployment
- C What, how and for whom to produce
- D The unequal distribution of income

Your answer

[1]

- 19 Statement 1: Qatar is more economically developed than Norway because GDP per capita is \$127 660 USD in Qatar and \$69 249 USD in Norway.

Statement 2: The claimant count rate of unemployment is higher in Norway than in Qatar.

Which of the following correctly categorises these statements?

	Statement 1	Statement 2
A	Normative	Normative
B	Normative	Positive
C	Positive	Normative
D	Positive	Positive

Your answer

[1]

- 20 What is the reward for capital?

- A Interest
- B Profit
- C Rent
- D Wages

Your answer

[1]

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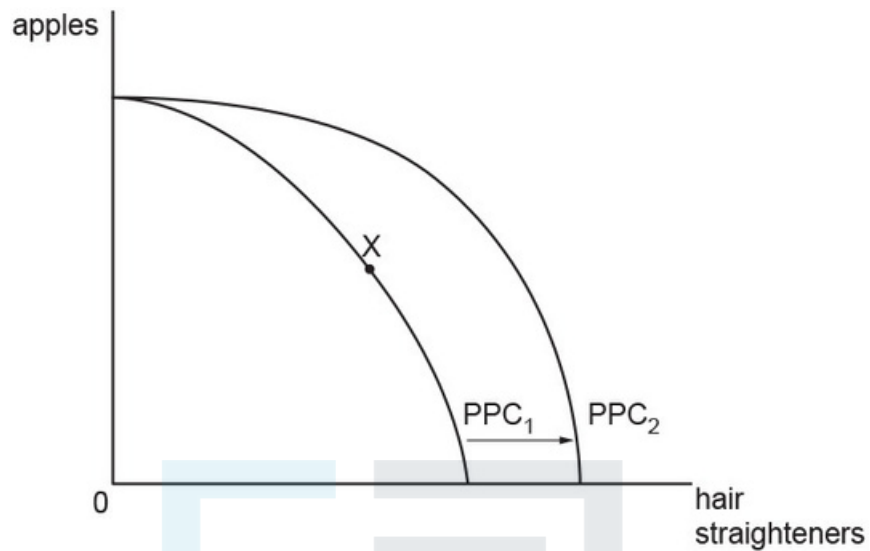
- 21 What is the reward to labour as a factor of production?

- A Interest
- B Profit
- C Rent
- D Wages

Your answer

[1]

- 22 An economy in which apples and hair straighteners are produced is initially operating at point X. If the production possibility curve shifts from PPC₁ to PPC₂, which of the statements identifies the change in the production possibilities?



- A It is not possible to increase the production of either apples or hair straighteners
B It is only possible to increase the production of apples
C It is only possible to increase the production of hair straighteners
D It is possible to increase the production of both apples and hair straighteners

Your answer

[1]

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23(a)

A bright future in Uganda

- Headmaster Samuel Mukisa is one of millions of people in Uganda who are plugging into the global solar-power boom. As his students study, a single rooftop solar panel generates power. It is a solar storage system which costs Mukisa a daily rate of 15 cents. The average Ugandan earns as little as \$1.50 (£1.14) a day. He pays his bill each fortnight and will do so for another
- 5 year. When the payment plan is completed, Mukisa intends to upgrade to a second solar panel, so another class of students can shine.

For the 600m Africans living without access to power, fuel poverty is a socio-economic barrier. The World Bank estimates that if sub-Saharan Africa's economies had dependable electricity, GDP growth across the region could be up to 2% per annum higher than current rates.

- 10 Uganda, with a population of 42m, has one of the youngest populations on average in the world, with 7 out of 10 people under the age of 25. Incomes in the country have increased by 26% in the last two years. The service sector has grown from 32% of the economy in 1990 to 55% in 2018, with a 15% expansion in the last two years. Today, it is estimated that 44% of Ugandans use the Internet, 70% have a mobile phone and 6% use social media. The growing demand for energy in
- 15 Uganda is clear. Nevertheless, away from large cities, many individuals still operate in a barter economy. Rural agriculture based areas are still very common. However, their contribution to GDP is now only 24% of the total, down from 56% in 1990; a further reflection of the developing nature of the economy.

The energy supply market in Uganda, as in many African countries, is highly localised, with only 2015% of its citizens living in homes connected to the country's energy network. The rest have to rely on arranging their own supply, increasingly using solar power. This is very different to the UK, where most of the population are customers of one of the large national energy suppliers (see Fig. 1).

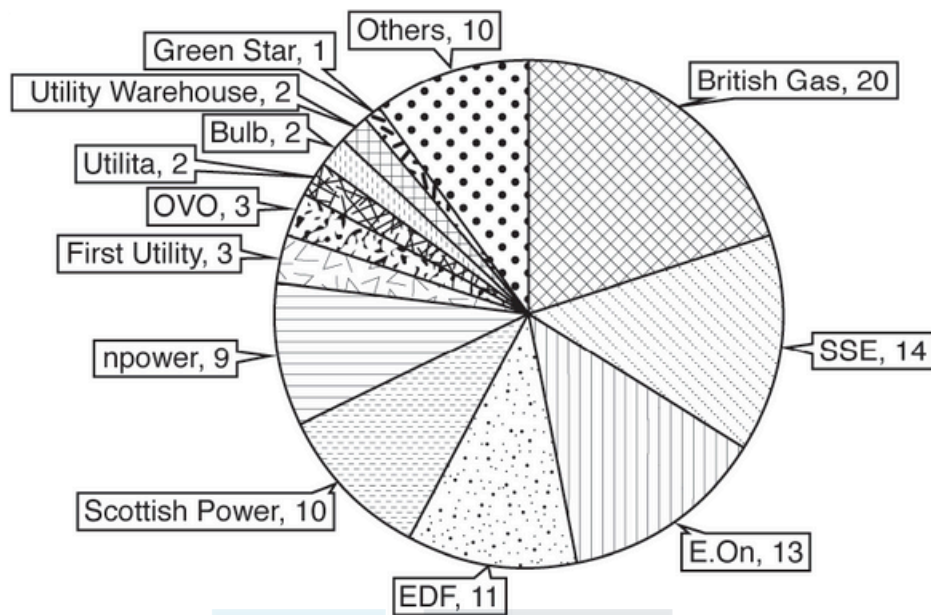


Fig. 1 - UK energy suppliers' market share, 2018 (%)

Uganda is at the centre of the solar energy revolution in Africa. For development organisations, including the United Nations, and socially minded investors, the opportunities are exciting. Street lights, topped with solar panels, charge up through the bright daylight hours and illuminate the streets each night. For a growing number of energy companies, the huge number of people without reliable power represents the opportunity to access a growing market.

Local start-up firms have appeared quickly, many with the backing of international companies. In 2018, one multinational energy firm, Shell, invested in three start-ups, SolarNow, SteamaCo and Husk Power Systems. These three have raised a total of \$30m from Shell and other investors. Shell's charity foundation also backs a UK-based firm, BBOXX. BBOXX has expanded rapidly, providing clean energy solutions and pay-as-you-go solar power. It aims to have provided home solar power systems to 20m people in Africa by 2020.

If Shell hopes to gain a control in the market it will need to compete against a former rival. The French firm, Engie, has taken the most decisive step into Africa's home solar market, with the acquisition of Ugandan-based Fenix International. Fenix supplies power to around 250 000 homes in Uganda, through the solar kits it sells in partnership with a mobile network provider.

The popularity of the Fenix home energy system means that the company is growing. It plans to expand into other countries, to reach millions more people. "We intend to be in multiple markets across eastern, southern and western Africa," said Chief Executive, Lyndsay Handler. "It's still amazing to me that so many people in Uganda do not have access to power. We provide a decentralised, affordable home system that can completely transform lives. An opportunity to rethink the way that we can achieve universal access to energy," she said.

- 45 "Beyond wanting to have an impact, we have always wanted to prove to the world that you can have a positive impact and deliver commercial returns. There's an underlying drive to show that this is not just charity. You can build commercial returns in Africa. We want to be part of a story that encourages others to see Africa as a commercial market. There are entrepreneurial people, with ideas and opportunities. They need investment, not just handouts," she said.
- 50 One Fenix customer for the past three years is Ritah Namatovu. She is now able to work at night to support her four grandchildren, thanks to her solar energy kit. Namatovu's only concern is that the solar panel might one day be stolen from her roof. "The solar panel is an asset I now own. There are no blackouts. These panels look so small, but they are powerful," she said.

Please refer to insert H460-01 October 2020, which can be downloaded separately and is included above.

Draw a PPC diagram to explain the following statements:

- (i) with dependable electricity, GDP growth across sub-Saharan Africa could be up to 2% per annum higher than current rates (lines 8–9);



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[2]

- (ii) Uganda has seen a fall in the agriculture sector's contribution to GDP at the same time as growth in the service sector's contribution. (lines 16–18).

[2]



(b) * The concept of rationality helps economists to understand the behaviour of economic agents.

Evaluate, using evidence from the stimulus material, how rationality may help us to understand the behaviour of firms.



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24 * According to scientists, there are at least half a million pieces of space rubbish in the earth's atmosphere.

Delhi, India's capital city, sees 80 deaths a day due to air pollution.

Evaluate how the problem of scarcity can be used to explain the requirement to make choices between free goods and economic goods.

[25]



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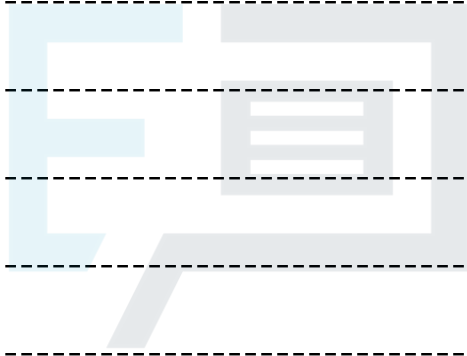


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- 25 * China is the world's second largest economy, has the fastest growing consumer market and is the second largest importer of goods – all from a centrally planned economy. However, more than 50% of China's surface water is not fit for human consumption.

Evaluate whether economic incentives are required to achieve an efficient allocation of resources.

[25]

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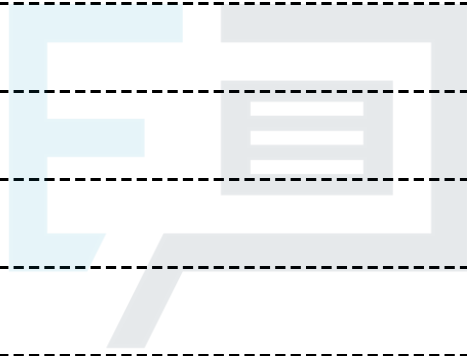
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